

2026 Self-Employment Tax

Quick Reference

SE tax formula, 2026 IRS rates, quarterly deadlines, safe harbor rules, and a worked example. All figures sourced from IRS Publications 15 and 15-A (2026).

The SE Tax Formula

Self-employment tax covers Social Security (12.4%) and Medicare (2.9%). The combined rate is 15.3%, but the IRS applies it to 92.35% of net earnings — not gross income.

SE Tax = Net Earnings x 0.9235 x 0.153

You can deduct half of your SE tax (Schedule 1) when calculating adjusted gross income for income tax.

2026 IRS Rates & Thresholds

Parameter	2026 Value	Source
SE Tax Rate	15.3%	IRS Pub 15 (2026)
Social Security Rate	12.4%	IRS Pub 15
Medicare Rate	2.9%	IRS Pub 15
SS Wage Base	\$184,500	SSA / IRS Pub 15
Net Earnings Factor	92.35%	IRS Schedule SE
Standard Deduction (Single)	\$16,100	IRS (2026)
SE Tax Threshold	\$400 net	IRS Schedule SE

Worked Example: \$80,000 Net Earnings

Step 1: $\$80,000 \times 0.9235 = \$73,880$ (taxable SE earnings)

Step 2: $\$73,880 \times 0.153 = \$11,303.64$ (total SE tax)

Step 3: $\$11,303.64 / 2 = \$5,651.82$ (deductible half)

Without the 92.35% adjustment: $\$80,000 \times 0.153 = \$12,240.00$ — that is \$936.36 more than you actually owe.

2026 Quarterly Estimated Tax Deadlines

Quarter	Income Period	Due Date
Q1	January – March	April 15, 2026
Q2	April – May	June 15, 2026
Q3	June – August	September 15, 2026
Q4	September – December	January 15, 2027

Estimated payments are required if you expect to owe \$1,000 or more in tax for the year. Quarters are not equal in length — Q2 covers 2 months while Q3 covers 3.

Safe Harbor Rules

You avoid underpayment penalties if your total estimated payments meet **either** threshold:

90% Rule: Total payments $\geq$ 90% of your 2026 actual tax liability.

100% Rule: Total payments $\geq$ 100% of your 2025 tax liability (110% if 2025 AGI exceeded \$150,000).

The 100% rule is safer for freelancers with variable income — you may overpay, but you avoid penalties.

W-2 + 1099 Combined Income

If you have both W-2 wages and self-employment income, your W-2 wages count first toward the \$184,500 Social Security cap. SE tax applies only to 1099 income, but the wage base is shared. Example: \$120,000 W-2 + \$80,000 SE income = only \$64,500 of SE income is subject to the 12.4% SS rate. All \$80,000 is subject to the 2.9% Medicare rate.

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Built by Hoda Elmorshidy, Financial Controller & Fractional CFO, 9+ years corporate finance.

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